

We work with the **Yang–Nevzorov model** with full observations:

$$\ell(\gamma, \mu, \sigma) = \sum_{t=1}^T [t \log \gamma + \log f(x_t) + (\gamma^t - 1) \log F(x_t)]$$

✓ 1. Gumbel distribution

$$f(x) = \frac{1}{\sigma} \exp\left(-\frac{x - \mu}{\sigma}\right) \exp\left(-e^{-\frac{x - \mu}{\sigma}}\right)$$

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Define:

$$u_t = \frac{x_t - \mu}{\sigma}, \quad e_t = e^{-u_t}$$

✓ 2. Log-likelihood (simplified)

Substitute:

$$\log f(x_t) = -\log \sigma - u_t - e_t, \quad \log F(x_t) = -e_t$$

Final expression

$$\ell(\gamma, \mu, \sigma) = \sum_{t=1}^T t \log \gamma - T \log \sigma - \sum_{t=1}^T u_t - \sum_{t=1}^T \gamma^t e_t$$

where

$$u_t = \frac{x_t - \mu}{\sigma}, \quad e_t = \exp(-u_t),$$

define

$$w_t = \gamma^t.$$

Then

$$\ell = S_t \log \gamma - T \log \sigma - \sum u_t - \sum w_t e_t,$$

with

$$S_t = \sum_{t=1}^T t = \frac{T(T+1)}{2}.$$

✓ 3. First-order derivatives

- ◆ w.r.t. μ

$$\ell_{\mu} = \frac{T}{\sigma} - \frac{1}{\sigma} \sum \gamma^t e_t$$

- ◆ w.r.t. σ

$$\ell_{\sigma} = -\frac{T}{\sigma} + \frac{1}{\sigma^2} \sum (x_t - \mu) - \frac{1}{\sigma^2} \sum \gamma^t (x_t - \mu) e_t$$

- ◆ w.r.t. γ

$$\ell_{\gamma} = \sum_{t=1}^T \frac{t}{\gamma} - \sum_{t=1}^T t \gamma^{t-1} e_t$$

✓ 4. Second-order derivatives

◆ $\mu\mu$

$$\ell_{\mu\mu} = -\frac{1}{\sigma^2} \sum \gamma^t e_t$$

◆ $\sigma\sigma$

$$\begin{aligned} \ell_{\sigma\sigma} = & \frac{T}{\sigma^2} - \frac{2}{\sigma^3} \sum (x_t - \mu) \\ & + \frac{2}{\sigma^3} \sum \gamma^t (x_t - \mu) e_t \\ & + \frac{1}{\sigma^4} \sum \gamma^t (x_t - \mu)^2 e_t \end{aligned}$$

$$\frac{\partial^2 \ell}{\partial \sigma^2} = \frac{T - 2 \sum u_t + \sum w_t u_t (2 - u_t) e_t}{\sigma^2}$$

◆ $\gamma\gamma$

$$\ell_{\gamma\gamma} = -\sum \frac{t}{\gamma^2} - \sum t(t-1) \gamma^{t-2} e_t$$

◆ Cross derivatives

$\gamma\mu$

$$\ell_{\gamma\mu} = -\frac{1}{\sigma} \sum t \gamma^{t-1} e_t$$

$\gamma\sigma$

$$\ell_{\gamma\sigma} = -\frac{1}{\sigma^2} \sum t \gamma^{t-1} (x_t - \mu) e_t$$

$\mu\sigma$

$$\ell_{\mu\sigma} = -\frac{T}{\sigma^2} + \frac{1}{\sigma^2} \sum \gamma^t e_t - \frac{1}{\sigma^3} \sum \gamma^t (x_t - \mu) e_t$$

$$\frac{\partial^2 \ell}{\partial \mu \partial \sigma} = \frac{-T + \sum w_t e_t (1 - u_t)}{\sigma^2}$$